

investors would say, aren't you tying up a lot of cash? Would it not be better to get a loan on it? The answer is, not in this case. My investment company uses this as a vacation rental in the winter months, when the "snowbirds" come to Arizona, and rent it for \$2,500 a month for four months out of the year. For rental during the off-season, it rents for only \$1,000 a month. I had my money back in about three years. Now I own this asset, which pumps money out for me, month in and month out.

The same is done with stocks. Frequently, my broker will call me and recommend I move a sizable amount of money into the stock of a company that he feels is just about to make a move that will add value to the stock, like announcing a new product. I will move my money in for a week to a month while the stock moves up. Then, I pull my initial dollar amount out, and stop worrying about the fluctuations of the market, because my initial money is back and ready to work on another asset. So my money goes in, and then it comes out, and I own an asset that was technically free.

True, I have lost money on many occasions. But I only play with money I can afford to lose. I would say, on an average ten investments, I hit home runs on two or three, while five or six do nothing, and I lose on two or three. But I limit my losses to only the money I have in at that time.

For people who hate risk, they put their money in the bank. And in the long run, savings are better than no savings. But it takes a long time to get your money back and, in most instances, you don't get anything for free with it. They used to hand out toasters, but they rarely do that these days.

On every one of my investments, there must be an upside, something for free. A condominium, a mini-storage, a piece of free land, a house, stock shares, office building. And there must be limited risk, or a low-risk idea. There are books devoted entirely to this subject that I will not get into here. Ray Kroc, of McDonald's fame, sold hamburger franchises, not because he loved hamburgers, but because he wanted the real estate ; under the franchise for free.

So wise investors must look at more than ROI; it's the assets you get for free once you get your money back. That is financial intelligence. :

8. ASSETS BUY LUXURIES: The power of focus. A friend's child has been developing a nasty habit of burning a hole in his pocket. Just 16, he naturally wanted his own car. The excuse, "All his friends' parents gave their kids cars." The child wanted to go into

his savings and use it for a down payment. That was when his father called me. "Do you think I should let him do it, or should I just do as other parents do and just buy him a car?"